STOCK PITCH · SYSTEMATIC VALUE PORTFOLIO · 29 OCTOBER 2026

HP Inc

NYSE: HPQ · Information Technology / Hardware · United States

A cash machine priced for decline: about 10x earnings and a 10% free-cash-flow yield

OVERWEIGHT	$39.14	$32.36	+21%
Rating	Base-case value	Price, 29 Oct 2026, intraday	Upside, 12 months

Noah Doose · MSc Financial Markets & Investments, SKEMA Business School · Student research, not investment advice

THE CALL

Overweight: the cash yield is the valuation, and the margin squeeze is temporary

OUR CALL

OVERWEIGHT

Target	$39.14
Price	$32.36
Upside	+21%
Horizon	12 months
Conviction	Medium

1

Cash yield is the valuation

FY2026 FCF guide raised to $3.0-3.2bn in August; 66% of FY2025 FCF returned.

~10%

FCF yield on market value

2

The squeeze is cyclical

Memory costs expected to peak in Q4 FY2026; $1bn savings plan runs to FY2028.

4.6%

PC margin, Q3 FY2026 (trough)

3

Printing funds the story

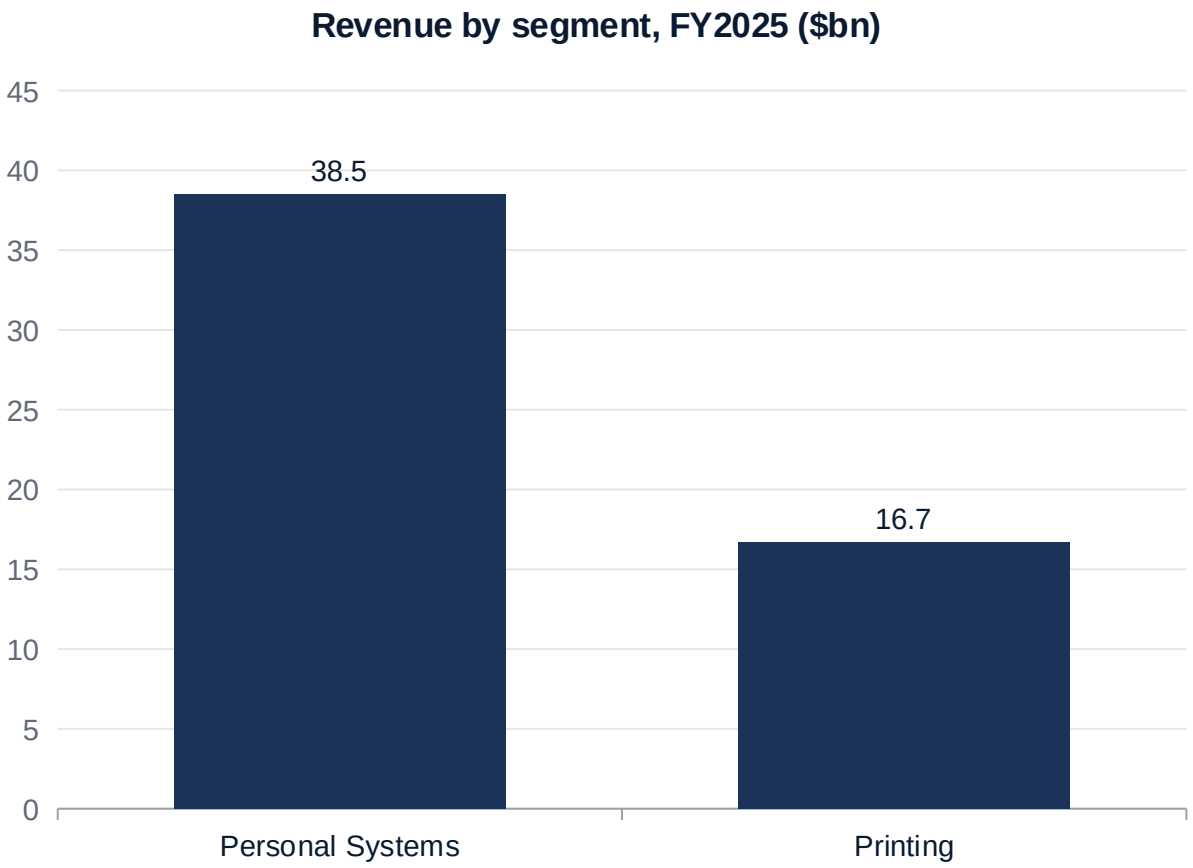
30% of revenue at an 18% margin, declining only ~2% a year.

18.1%

Printing margin, Q3 FY2026

Source: HP Inc. 8-Ks for Q4 FY2025, Q2 and Q3 FY2026; price third-party (29 Oct 2026).

PCs bring the revenue, printing brings the profit



Personal Systems

PCs and workstations at a 5.3% margin in FY2025; AI PCs lift prices.

Printing

Ink and toner supplies: recurring revenue at an 18.7% margin.

Capital

Negative book equity after years of buybacks; net debt about $5bn.

Source: HP Inc. 10-K FY2025 and Q4 FY2025 8-K.

Memory costs are the squeeze; the Windows 10 refresh was the lift

Q4 FY26

Memory cost peak

DRAM and NAND inflation squeezes PC margins until Aug-Oct 2026.

+18%

PC revenue, Q3 FY2026

Windows 10 end of support drove a commercial refresh.

$0.19

One-off tariff refunds in FY26 EPS

IEEPA tariffs struck down in February 2026; we exclude them.

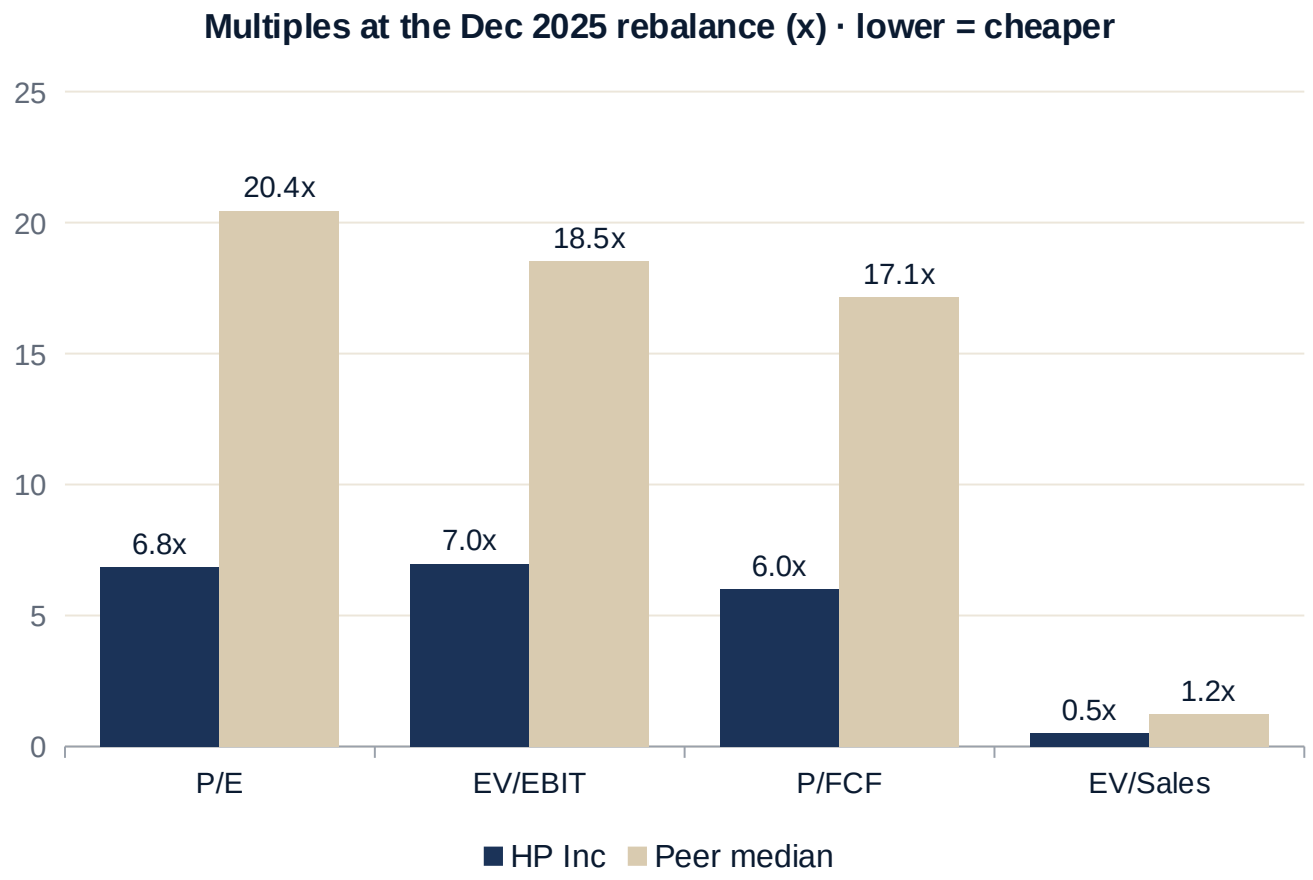
Interim

CEO

Enrique Lores stepped down on 3 Feb 2026; Bruce Broussard is interim CEO.

Source: HP Inc. 8-Ks (3 Feb, 27 May, 26 Aug 2026).

Ranked 2 of 128 in IT: 7x EBIT and 6x free cash flow, against 18x and 17x for peers



2 / 128

Value rank in its sector

Book-to-price is negative: equity is below zero after buybacks.

10 / 10

Rebalances held (since Jun 2021)

H1 2026 return +8.7% vs +10.8% for MSCI World.

Outside the core

In the 70/30 value strategy

Neither the US nor IT is among the cheapest core lines in June 2026.

Source: Thoth Ledger stock screen, Bloomberg data (FY to 2024-10, used with a 6-month lag); peers = same GICS industry group.

VARIANT PERCEPTION

A slow decline priced as a fast one

THE MARKET SAYS	WE SAY
“Printing is in terminal decline.”	Revenue falls ~2% a year and the margin holds above 18%.
“PC demand was pulled forward by Windows 10.”	Partly true: we use $3.0bn of FCF, the bottom of the guide, ex tariff refunds.
“An interim CEO means strategic risk.”	A permanent appointment is more likely a catalyst than a threat.

FINANCIALS

FY2026 is a good year; the question is FY2027 cash

	FY2024	FY2025	Q3 FY2026	FY2026 guide
Net revenue	$53.6bn	$55.3bn	$15.7bn	—
Personal Systems margin	—	5.3%	4.6%	trough
Printing margin	—	18.7%	18.1%	—
Non-GAAP EPS	$3.43	$3.12	$0.83	$3.19-3.29*
Free cash flow	—	**$2.9bn**	**$1.6bn**	**$3.0-3.2bn**

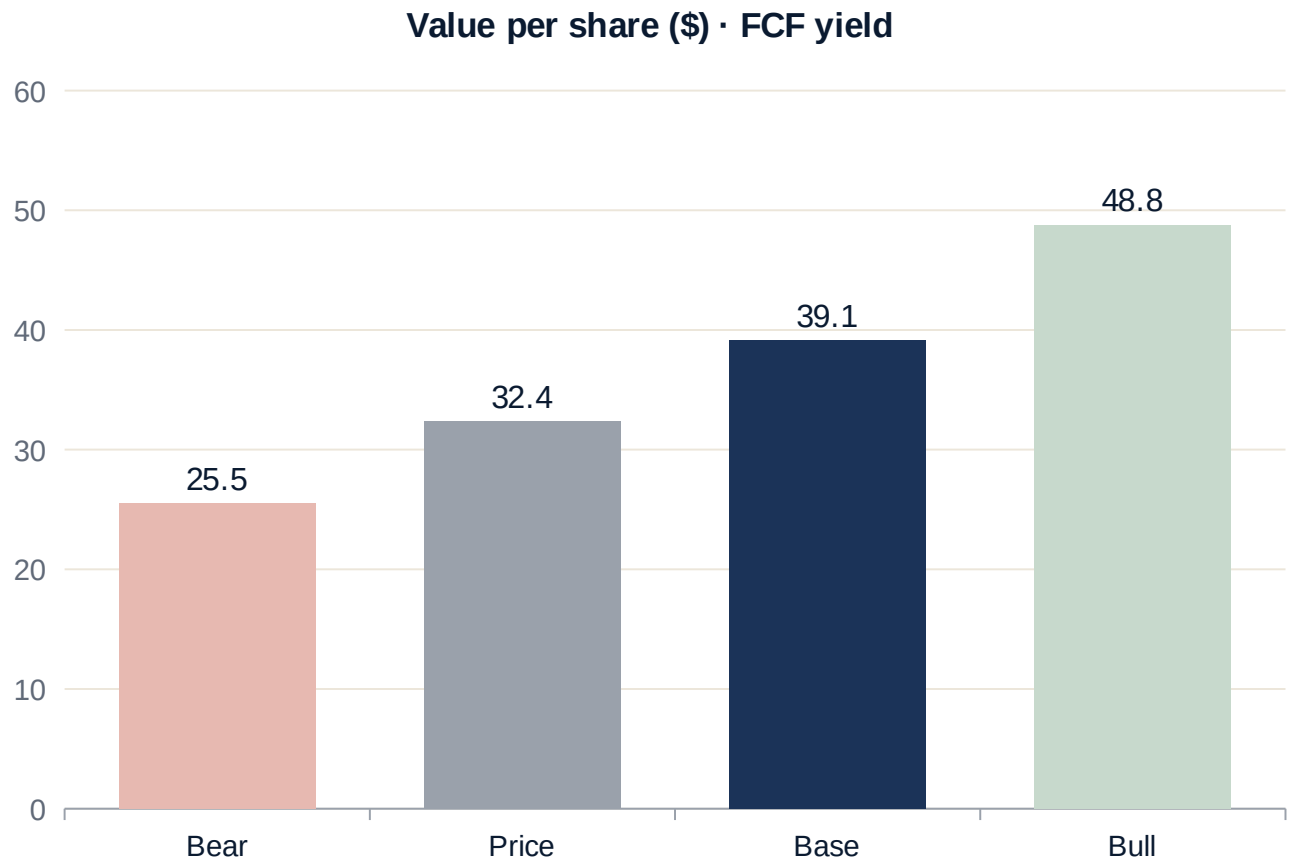
WHAT TO WATCH

~25 Nov 2026

Q4 results and the first FY2027 outlook: FCF above ~$2.5bn keeps the case intact.

*Source: HP Inc. 8-Ks for Q4 FY2025 and Q3 FY2026. *Includes $0.19 of one-off tariff refunds. FY ends 31 October.*

$39 base case: $3.0bn of free cash flow at an 8.5% yield



HOW WE GET THERE

Sustainable free cash flow ÷ required yield

1. **$3.0bn ÷ 8.5% ÷ 902m shares**
   The bottom of the guide, excluding tariff refunds.

2. **Bear $25.5, bull $48.8**
   $2.3bn at 10% if printing speeds up its decline; $3.3bn at 7.5% if savings land.

3. **Paid while we wait**
   A 3.7% dividend yield plus buybacks.

Source: own valuation; HP Inc. Q3 FY2026 8-K.

CATALYSTS

The Q4 print and the FY2027 outlook come first

~25 Nov 2026 — Q4 26-H1 27 — 2026-2027 — To FY2028

HARD

Q4 results, FY27 outlook

FCF and EPS guide for FY2027.

SOFT

Memory-cost peak

Sequential recovery in PC margins.

HARD

Permanent CEO

Ends the interim period.

SOFT

$1bn savings

Reported each quarter.

The number to watch: FY2027 free-cash-flow guidance above about $2.5bn.

RISKS

Faster printing decline is the risk; buybacks are the buffer

Printing decline speeds up

Supplies are recurring; the margin held above 18%.

Memory costs do not peak

Pricing passed through in Q3 FY2026.

Negative equity, ~$5bn net debt

Buybacks can be cut before the dividend.

WE CHANGE THE CALL IF

- → FY2027 FCF guide below about $2.5bn
- → Printing margin below 16%
- → A dividend cut, or FY2027 EPS guide down ex refunds

OVERWEIGHT

Base case $39.14 · +21%

$3bn of cash a year, priced as if printing were about to collapse

~10%	~10x	~25 Nov
FCF yield	**P/E, FY2026**	**Key catalyst**
FY2026 guide	on the guide	FY2027 outlook

Questions?

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Sources and disclosures

[1] HP Inc., Form 8-K Exh. 99.1, "HP Inc. Reports Fiscal 2025 Full Year and Fourth Quarter Results", 25 Nov 2025

[2] HP Inc., Form 10-K for the fiscal year ended 31 Oct 2025, filed 10 Dec 2025

[3] HP Inc., Form 8-K Exh. 99.1, "HP Inc. Reports Fiscal 2026 First Quarter Results", 24 Feb 2026

[4] HP Inc., Form 10-Q for the quarter ended 31 Jul 2026

[5] HP Inc., Form 8-K Exh. 99.1, "HP Inc. Reports Fiscal 2026 Third Quarter Results", 26 Aug 2026

[6] Plante Moran, "Supreme Court strikes down IEEPA tariffs", Feb 2026

[7] Massive, HPQ quote page (delayed quote, 52-week range, market cap, ratios), snapshot 29 Oct 2026 11:51 EDT (third-party market data; to be replaced by Bloomberg, Dec 2026)

[8] Earnings Whispers, HPQ earnings page (Q3 consensus; next report date) (third-party market data; to be replaced by Bloomberg, Dec 2026)

[9] HP Inc., Form 8-K Exh. 99.1, "HP Inc. Announces Leadership Transition", 3 Feb 2026

[10] HP Inc., Form 8-K Exh. 99.1, "HP Inc. Reports Fiscal 2026 Second Quarter Results", 27 May 2026

Student research by Noah Doose (MSc Financial Markets & Investments, SKEMA Business School) for educational purposes and job interviews. Not investment advice or a solicitation. Market data (prices, consensus, forward multiples) is third-party as of the date shown and will be refreshed from Bloomberg; company figures come from the filings listed. Screen data: Thoth Ledger pipeline on Bloomberg data extracted on the SKEMA terminal (Oct 2026).